TECHNICAL NOTES

Distribution of Personal Income Statistics

2026

Estimates for 2000–2023 have been revised. Estimates for 2024 are provisional. A Nowcast of income quintile shares for 2025 has been published. The BEA technical document has been updated to reflect these changes. Key methodological changes are described below, along with other factors affecting interpretation of recent estimates.

1. Top Income Adjustments

In the December 2024 release, households in 2000–2010 were assigned only to AGI categories below $200,000 or $200,000 and above, due to AGI topcoding in the underlying data which resulted in thin tails and noisy estimates.

1. **AGI reconstruction (pre-2011 years):** AGI now reconstructed from individual components, expanding the range for assignment to the $500,000+ category. Households are classified into three categories for all years (AGI <$200,000; AGI $200,000–$500,000; $500,000+). This is consistent with prior releases.
2. **Refined tax unit assignment code:** Improves accuracy of tax unit classification.

– **Net impact:** Slight reduction in measured inequality for most years (average −0.4 percentage points for the top quintile).

2. Dividend Income Disaggregation

Dividend income allocation between S-corporations and pensions has been refined using internal BEA tables. The effect on income shares is negligible for most years.

3. Implementation of PolicyEngine for Tax Information

Support for TAXSIM-35 was discontinued as of 2025. PolicyEngine, a nonprofit, has developed a high-fidelity emulator to continue producing tax variable outputs; it has been implemented for 2021 onward. The effect on estimates is negligible.

4. Other Non-Methodological Considerations

a. *Status of 2023 and 2024 estimates*

Key Statistics of Income (SOI) data remain unavailable at the time of estimate construction, including:

- Income source data by AGI for 2024.
- Data for partnerships and sole proprietorships (affects NIPA nonfarm proprietors' income).
- Interest and dividend data used for NIPAs presently for 2023 and 2024.

b. *Estimate Volatility for 2022–2024*

Several factors affect interpretation of 2022–2024 estimates:

1. Incomplete source data for 2023–2024.
2. Differences in 2024 CPS reporting of self-employment income. Self-employment totals increase significantly in the 2024 CPS relative to 2023 and 2025. This affects NIPA scaling, top shares, and the Gini coefficient for data year 2023.
3. Tax effects: Nonwithheld taxes rose in 2022 due to 2021 realized capital gains. Personal income excludes income from capital gains, but current taxes include taxes paid on realized capital gains. Significant anomalies in this item create discrepancies between personal and disposable income inequality, including for 2022–2023.

c. *2025 Nowcast*

To improve timeliness, BEA has published a Nowcast of income quintile shares for 2025. The Nowcast uses machine learning models that relate published annual distributions to current NIPA totals to generate quintile-level estimates. The methodology is described in BEA Working Paper 2024-6, with an abridged version in AEA Papers and Proceedings. On balance, income inequality appears relatively flat from 2022 to 2025.